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RESEARCH INTERESTS

Macroeconomics; Heterogeneous Agents and Firms; Optimal Fiscal and Monetary Policy; Inflation and Monetary Transmission; Public Debt, Taxation and Inequality; Firm Pricing and Inventories; International Macroeconomics and Sovereign Risk

EMPLOYMENT

Assistant Professor	Université du Québec à Montréal (UQAM)	Aug. 2025 -
Postdoctoral Fellow	University of Southern California	Jan. 2025 - Aug. 2025
Ph.D. Trainee	Bank of England	Jul. 2023 - Dec. 2023
Visiting Short-term Scholar	Michigan State University	Sep. 2017 - Feb. 2018

EDUCATION

PhD Economics	Sciences Po, Paris	Aug. 2021 - Nov. 2024
MA Economics	University of Minnesota	Aug. 2018 - Aug. 2020
MSc Economics	Sao Paulo School of Economics, FGV	Jan. 2016 - Jul. 2018
BSc Economics	University of Sao Paulo, USP	Feb. 2011 - Dec. 2015

PUBLICATIONS

Financial constraints and collateral crises, *Review of Economic Dynamics* (October, 2020)

Luis Araujo[1], Bernardo Guimarães[2], Diego Rodrigues

Assessing the fundamental value of a wide range of asset-backed securities is costly. As a result, these assets can become information insensitive, which allows them to be used as collateral in credit transactions. In this paper, we show that while it is true that information-insensitive assets can play a liquidity role, the fact that they play this role reinforces their information-insensitivity. This implies that the availability of alternative ways of financing can harm the liquidity role of assets, even if these alternatives are costly and not used in equilibrium. The reason is that such options raise the asset's sensitivity to information by increasing the relative importance of their fundamental value vis-a-vis their role as collateral.

[1]Michigan State University.
[2]Sao Paulo School of Economics, FGV.

WORKING PAPERS

The Welfare of Nations: Revealed Social Preferences in Incomplete-Market Economies

CEPR Working Paper DP19847 — **Submitted**

Previously circulated as From Homo Economicus to Homo Moralis: A Bewley Theory of the Social Welfare Function

François Le Grand[3], Xavier Ragot[4], Diego Rodrigues

We estimate social preferences from observed fiscal systems, developing an inverse-optimal welfare approach for heterogeneous-agent economies with incomplete markets. In a stationary Bewley economy, standard Pareto-Negishi social welfare functions converge to the utilitarian benchmark because long-run heterogeneity is generated by idiosyncratic histories. We therefore introduce a new history-based class of social welfare functions, with both an axiomatic characterization and an aggregation interpretation. Applying the framework to fiscal systems in France and the United States, we recover social welfare weights over current productivity states. The recovered valuations differ sharply across countries: US weights rise with productivity, while French weights are more compressed and U-shaped, with the highest valuations assigned to low-productivity states and a smaller secondary rise at the top. These patterns are robust to alternative utility specifications, non-parametric recovery, and history-dependent extensions.

Replication package: https://github.com/Diego-de-Sousa-Rodrigues/The_Welfare_of_Nations

Inventories matter for the transmission of monetary policy: uncovering the cost-of-carry channel

Bank of England Staff Working Paper No. 1,153 — **Submitted**

Diego Rodrigues, Tim Willems[5]

By setting interest rates, monetary policy affects the cost of carrying inventories — giving rise to a "cost-of-carry channel" of monetary policy transmission. Higher inventory carrying costs can drive firms, especially those holding larger inventories, to cut their prices. We test this hypothesis using data from the U.S. goods, housing, and oil markets and find robust evidence supporting the cost-of-carry channel. We then introduce this channel into a New Keynesian setup and show that it makes optimal policy more focused on inflation stabilization when inventories are more plentiful — the reason being that the central bank faces a more favorable sacrifice ratio in such an environment.

Media: Covered by *Central Banking*.

Non-technical summary: https://www.lse.ac.uk/CFM/assets/pdf/CFM-Discussion-Papers-2025/CFMDP2025-28-Summary.pdf

[3]ESSEC Business School and Thema.
[4]Sciences Po, CNRS, OFCE, and CEPR.
[5]Bank of England and Centre for Macroeconomics.

Loving or Fighting Inflation: Optimal Policy in High- and Low-Debt Economies
SSRN Working Paper 5714682 — **Revise and resubmit, *Journal of Macroeconomics***
Previously circulated as Loving or Fighting Inflation: Managing Debt Dynamics
Diego Rodrigues

Does high public debt force governments to tolerate inflation? In a heterogeneous-agent Ramsey framework calibrated to the United Kingdom at three debt levels, the optimal planner keeps inflation at zero regardless of the debt ratio, absorbing shocks entirely through the progressive tax structure — both the level and the progressivity of labor taxation. Progressive taxation dominates inflation as a redistributive tool because it targets income directly, whereas inflation erodes savings regressively. When the tax structure is constrained, inflation re-emerges and scales with debt. The conventional wisdom linking high debt to inflation is therefore conditional on fiscal rigidity, not a generic feature of indebted economies.

Commodity Prices and Sovereign Risk
Previously circulated as Food Crisis and Debt Distress — **Submitted**
Naomi Cohen[6], Venance Riblier[7], Diego Rodrigues

Why do global commodity-price increases reduce sovereign risk in some countries but raise it in others? Using data on 41 commodities and 37 countries, we show that trade exposure shapes these differences. We incorporate country-specific commodity baskets into a sovereign-default model in which higher prices raise consumption costs in every country, but affect trade income differently across countries. In exporter-type economies, where higher prices increase net trade income, these gains can offset higher consumption costs; in importer-type economies, trade-income losses reinforce them. The model predicts that spreads fall in exporter-type economies and rise in importer-type economies, consistent with empirical evidence.

Online appendix: https://diego-de-sousa-rodrigues.github.io/diegodesousarodrigues.com/Commodity_Prices_Sovereign_Risk_Supplemental_Material.pdf

WORK IN PROGRESS

Optimal Monetary and Fiscal Policy in a World of Supply Shocks

A HANK model for France

RESEARCH GRANTS

2026. Soutien à la recherche pour la relève professorale, Fonds de recherche du Québec (FRQ). Application submitted.

[6]Sciences Po, Paris.
[7]University of California, Berkeley.

CONFERENCE PRESENTATIONS AND INVITED TALKS

2026. IEA World Congress, Belgrade; Canadian Economics Association, 60th Annual Conference, Vancouver; Société canadienne de science économique, 65e congrès annuel, Québec; Theories and Methods in Macroeconomics (T2M), Montréal; University of Kentucky, invited seminar, Lexington.

2025. Bank of England; Reserve Bank of Australia; Princeton University; Sciences Po; NEOMA Business School; Catolica-Lisbon; Université du Québec à Montréal.

2024. NBER Summer Institute, Inequality and Macroeconomics; American Economic Association; ADRES Job Market Conference; RIEF Network.

2022. Association française de science économique (AFSE); EEA/ESEM.

TEACHING EXPERIENCE

Winter 2026 **Professor, ECO7011 Macroéconomie avancée, M.Sc. in Economics, UQAM**.
Topics: Two-period and permanent-income models, neoclassical growth, OLG, RBC, New Keynesian.
Taught in French.

Fall 2025 **Professor, ECO9230 Sujets en macroéconomie, Ph.D. in Economics, UQAM**.
Topics: Computational macroeconomics; complete and incomplete markets; function and stochastic-process approximation; Blanchard-Kahn and log-linearization; value and policy function iteration; Aiyagari-Huggett and Krusell-Smith. Implementation in MATLAB and Julia.
Github page: https://github.com/Diego-de-Sousa-Rodrigues/ECO9230

Fall 2022 **Lecturer, Macroeconomics I, Ph.D. in Economics, Sciences Po**.
Topics: Economic Growth Models, Labor Market Dynamics, Dynamic Optimization.
Github page:
https://github.com/Diego-de-Sousa-Rodrigues/Macroeconomics_I

Fall 2022 **Teaching Assistant, Macroeconomics III, Ph.D. in Economics, Sciences Po**.
Topics: Market Structures, Dynamic Systems and Optimization, Heterogeneous Agent Models.
Github page:
https://github.com/Diego-de-Sousa-Rodrigues/Macroeconomics_III

Spring 2022 **Lecturer, Programming Course, Ph.D. in Economics, Sciences Po**.
Topics: Terminal, GitHub, Basics in R, Advanced programming in Julia.
Github page: https://github.com/Diego-de-Sousa-Rodrigues/IP2022

Fall 2021	**Teaching Assistant, Macroeconomics III, Ph.D. in Economics, Sciences Po**. *Topics:* Basic Asset Pricing, Dynamic Programming, Inequality, Aggregate Fluctuations.
Fall 2021	**Teaching Assistant, Macroeconomics I, Ph.D. in Economics, Sciences Po**. *Topics:* Economic Growth, Labor Markets, Unemployment, Search and Matching.
Fall 2020	**Teaching Assistant, Microeconomics, BA in Economics, University of Minnesota**. *Topics:* Households, Firms, and Industries under Competitive/Monopolistic Conditions.
Summer 2020	**Teaching Assistant, Microeconomics, BA in Economics, University of Minnesota**. *Topics:* Microeconomic Behavior of Consumers, Firms, and Markets.
Spring 2017	**Teaching Assistant, Macroeconomics II, Ph.D. in Economics, FGV**. *Topics:* Basic Macroeconomics Models in Discrete Time and Monetary Models.
Spring 2017	**Teaching Assistant, International Finance, Professional M.A. in Economics, FGV**. *Topics:* Introduction to International Finance and Open Macroeconomics.

GRADUATE SUPERVISION

Ph.D. (co-supervision)	**Deka Yannick Lionel Agobre**, UQAM, from Fall 2026. Qualifying examinations passed with the highest macroeconomics results in the programme.
M.Sc.	**Oumar Balde**, UQAM.
M.Sc.	**N'Da Wilfried Yao Gaston Kouakou**, UQAM.
Teaching assistant	**Awa Djibo Diango**, Ph.D. candidate, UQAM (ECO7011).

DEPARTMENTAL SERVICES

2025 - 2026, 2026 - 2027	Co-organizer, external seminar series, Département des sciences économiques, UQAM
2026	Member, recruiting committee for a faculty position in international economics, Département des sciences économiques, UQAM

PROFESSIONAL SERVICE

2026 - 2027	Organizing Committee, Computing in Economics and Finance (CEF 2027), Society for Computational Economics, Montréal, 28–30 June 2027

HONORS AND AWARDS

2021 - 2024	Fellowship Sciences Po
2018 - 2019	Bert and Susan Hill Gross Fellowship University of Minnesota
2017 - 2018	Scholarship to Research Internship Abroad at Michigan State University
2016 - 2018	Scholarship from FAPESP for Master in Economics at FGV

LANGUAGE AND COMPUTER SKILLS

Languages	Portuguese (Native), English (Fluent), French (B2), Spanish (B1)
Computer Skills	MATLAB, Julia, R, Stata, E-Views, Gretl, LaTex

PROFESSIONAL EXPERIENCE

2012 - 2015	Consultant, Neuding Management Consultant, Sao Paulo/SP, Brazil

REFERENCES

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